

Bear

\$63.74

Base

\$77.58

Bull

\$98.27

COMPANY HEALTH SCORE

45

/ 100

GOOD TO BUY SCORE

0

/ 100

PIOTROSKI F-SCORE

4

NEUTRAL

/ 9

RULE OF 40

10.8%

/ 40%

BENEISH M-SCORE (MANIPULATION RISK)

-3.2

SAFE

/ -1.78

Custom Scenarios

PARAMETER	Bear	Base	Bull
Rev. Growth (%)	5	8	11
FCF Margin (%)	5	7	9
WACC (%)	9	9	9
Exit Multiple (x)	18	21	24
Perpetual Gr. (%)	2	2.5	3
EPS Growth (%)	10	15	20
Forward P/E 3y	18	21	24

DCF Model

\$84.20

OVERVALUED

MOS: -52.16%

40% SHARE

Relative Valuation

\$73.33

OVERVALUED

MOS: -58.33%

PEER MEDIAN P/E: 20.0X

40% SHARE

Forward Multiple

\$83.07

OVERVALUED

MOS: -52.80%

FAIR P/E: 21.0X

10% SHARE

PEG Valuation

\$62.58

CYCLICAL VERDICT

MOS: -64.44%

PEG = 2.81 VS PEG STD = 1.00

10% SHARE

STRATEGIC STRENGTHS

- Domestic supply-chain moat:** Exclusive U.S. HALEU production capability and long-term LEU contracts give Centrus high switching costs for utilities seeking secure, non-Russian enrichment sources.
- Robust profitability metrics:** 13.4% net profit margin and 4.9% YoY revenue growth support a premium valuation; the high margin reflects pricing power in a market where SWU prices have surged 488% above the 2018 low.
- Growth catalyst – DOE \$900 M HALEU award:** The multi-year HALEU Production Contract (Phase 3) provides a predictable cash flow stream and positions Centrus to capture the emerging advanced reactor market, estimated to require >30 t of HALEU annually by 2030.

VULNERABILITIES & RISKS

- Competitive and supply-side pressure:** Russian enrichment capacity, if re-integrated, could re-balance global supply and depress SWU pricing; competitors such as Urenco and Rosatom retain scale advantages.
- Valuation & leverage risk:** A 59.5x forward P/E is markedly above sector averages, exposing the stock to a sharp multiple contraction if DOE funding stalls; the 152% debt-to-equity ratio raises financing costs and limits flexibility for capital-intensive expansion.
- Regulatory & funding uncertainty:** Continuation of DOE appropriations is discretionary; the FY 2027 budget currently omits further HALEU funding, creating a binary risk of contract renewal versus revenue shortfall.

KEY POINTS FROM LATEST REPORTS

- Guidance on SWU pricing & volume:** Management reiterated expectations that spot SWU will remain near \$200 through FY 2027, targeting a 6–8% increase in LEU segment volume driven by new utility contracts and the anticipated HALEU demand from advanced reactors.
- Operational initiative – cascade optimization:** The Q1 10-Q highlights a \$108.2 M funded Option 1a for the HALEU cascade, with plans to improve centrifuge uptime to >85% and reduce per-kilogram production cost by ~12% before the next DOE task-order window.
- Headwind – DOE funding gap:** Executives warned that the FY 2027 budget does not contain HALEU cascade funding; absent congressional appropriations, Centrus could incur “material additional costs or losses” to sustain operations, potentially pressuring cash flow and margins.